The Memory Cycle Journal

LEAD STORY · KEY NUMBERS · FROM THE INBOX · ON X · CYCLE TRACKER · EVENTS

KOSPI (FRI NEAR CLOSE / CIRCUIT BREAKER)
5,042.25 −6.34% near close after Level-1 halt ~3 min in (low ~4,911 / −8.5%); Thu close 5,383.80 (−5.28%); Samsung / SK hynix −6.45% / −10.68% · Korea Herald, Sedaily, Yahoo

MICRON (THU CLOSE)
$656.39 −17.46%; Sandisk $806.43 (−22.26%, worst in S&P); SOX 9,011.14 (−12.25%, worst since Mar 2020); Nasdaq −5.52% · Exa, MarketWatch / Morningstar

LEAD STORY

MARKETS · POLICY · SUPPLY

Sell-Off Deepens as Seoul Hits a Circuit Breaker — While Suppliers Still Say Memory Is Short

Micron fell 17% and Sandisk 22% on Thursday; Seoul opened into a Level-1 halt on Friday. The same week, Counterpoint put Q3 DRAM near $200 billion and TechInsights still sees supply at about 85% of demand.

By the Memory Cycle Desk · Tel Aviv · ~08:35 IST Friday (UTC+2) · Korean prices near close (Yahoo ~15:33 KST; official close wire pending) · CONFIRMED unless marked

KEY NUMBERS · FRIDAY IN ASIA, THURSDAY IN NEW YORK

ASIA, FRIDAY (KOREA NEAR CLOSE)

KOSPI, Fri near close	**5,042.25 (−6.34%)**
KOSPI, Thu close	**5,383.80 (−5.28%)**
Samsung, Fri near close	**₩188,500 (−6.45%)**
SK hynix, Fri near close	**₩1,129,000 (−10.68%)**
Samsung / SKH, Thu	**₩201,500 / ₩1,264,000**
USD/KRW (Thu)	**~1,342.1**

US THURSDAY CLOSES AND SPOT

Micron	**$656.39 (−17.46%)**
Sandisk	**$806.43 (−22.26%)**
SOX	**9,011.14 (−12.25%)**
DDR5 16Gb spot	**$60.17 (−0.82%)**
DDR4 16Gb spot	**$80.94 (−0.91%)**
512Gb TLC wafer spot	**$16.15 (−4.33% w/w)**

What this shows: equities are pricing slower US data-center builds; spot DRAM edged lower for a second session; weekly NAND wafer is unchanged from Nov 4. Korea Friday figures are near close (Yahoo ~15:33 KST; official close wire pending); circuit-breaker low ~4,911 (−8.5%) and open 5,263.63 (−2.2%) from Korea Herald / Sedaily / JoongAng. Correction to No. 30: Thursday's Seoul close was KOSPI 5,383.80 (−5.28%), Samsung ₩201,500 (−7.57%), SK hynix ₩1,264,000 (−9.46%), foreigners −₩3.39T (Korea Herald / MoneyToday / LC News), not the provisional 14:38 prints. Spot as of Nov 6, 11:00 Taipei time; wafer price weekly (TrendForce). Sources: Korea Herald, Sedaily, Yonhap, Exa, MarketWatch/Morningstar, Yahoo Finance, TrendForce.

The midterm sell-off got worse. On Thursday the PHLX Semiconductor Index lost 12.25% to 9,011.14, its worst day since March 16, 2020. Micron closed at $656.39 (−17.46%), Sandisk at $806.43 (−22.26%, worst in the S&P 500), and the Nasdaq Composite fell 5.52%. Nvidia dropped about 9% (MarketWatch via Morningstar; Exa). Analysts framed it as uncertainty over AI data-center permitting and regulation after the Democratic midterm gains — Yorkville's Daniel Ives said the build-out looks "slower and a longer process than it looked like 48 hours ago."

Seoul followed. Thursday's final close corrected our provisional prints: KOSPI 5,383.80 (−5.28%), Samsung ₩201,500 (−7.57%), SK hynix ₩1,264,000 (−9.46%), with foreigners net selling ₩3.39 trillion (Korea Herald). On Friday the KOSPI opened at 5,263.63 (−2.2%) and hit a Level-1 circuit breaker within

about three minutes as the index fell roughly 8.5% into the 4,900s — the first sub-5,000 print since Feb 2. Premarket depths had Samsung as much as −13% and SK hynix −15.3%; at 9:14 a.m. they were −9.98% and −11.71%. By the afternoon the index had reclaimed 5,000 on institutional and pension buying before finishing near 5,042.25 (−6.34%) on Yahoo's near-close print, with foreigners still selling (Korea Herald, Sedaily, Yahoo).

Supply news still pointed the other way. Counterpoint put Q3 DRAM revenue near $200 billion on only about 4% bit growth. TechInsights' Jeongdong Choe still puts supply at about 85% of demand. TrendForce sees overall DRAM bit supply growth slowing to 24% in 2027 and remaining tight. Spot DRAM, though, fell for a second session: DDR5 16Gb to $60.167 (−0.82%), DDR4 16Gb to $80.938 (−0.91%). The 512Gb TLC wafer weekly print is still $16.152 (−4.33% w/w from Nov 4).

Our call: unchanged overall on supply; policy and sentiment risk up sharply; DRAM spot a second down day, still elevated. CYCLE SIGNAL: STOCKS PRICING SLOWER DEMAND; FUNDAMENTALS STILL TIGHT

SUPPLY · TAIWAN · LABOR

Micron Pauses a $3–4.5B Taiwan Fab Over a Labor Fight



Photo: I-Hwa Cheng, AFP via Taipei Times

Bloomberg, citing people familiar, says Micron has all but halted construction of Fab 11E in Taoyuan — a $3–4.5 billion project including ASML tools, planned for HBM and DRAM and due around 2028. Only minor safety work remains. Executives worry a deal with the larger Taichung union could be overturned as the smaller Taoyuan union (seeking 15% of operating profit, all cash) tries to expand. Micron's statement did not address the pause: "Taiwan plays an important role… operations today continue as normal" and "we look forward to reaching an agreement." Taiwan accounts for about 60% of Micron's conventional DRAM output and about 15,000 employees. A delayed 2028 shell is a supply-side wrinkle in a market already short of conventional DRAM (Taipei Times / Bloomberg, Focus Taiwan, Tom's Hardware) REPORT.

DEMAND · PRICING · SHARE

Counterpoint: Q3 DRAM Near $200B on Just 4% Bit Growth

"This is a pricing super-cycle, not yet a volume cycle," Counterpoint's Jeongku Choi wrote. Bit shipments rose only about 4%, yet DRAM revenue reached nearly $200 billion — about 5× a year ago, or +369% y/y — with ASPs at about $1.9 per Gb. Samsung held 38% share, SK hynix 29% (revenue up more than 40% q/q), Micron 21% and CXMT 9%. MS Hwang said HBM prices are catching up to commodity DRAM, LTAs are supporting prices, and "major new fabs will not start production until 2028," so supply stays tight. Conventional DDR and LPDDR revenue rose about 500% and nearly 400% y/y as agentic AI lifts CPU DRAM (for example, Vera Rubin ~1.5 TB per socket). Samsung is expected to take the HBM lead next year on HBM4 reception (Counterpoint, Nov 5).

FROM THE INBOX · SINCE NOV 5, 08:15 IST

NEW **TrendForce on 2027 bits.** Overall DRAM bit supply growth slows to about 24% in 2027 and stays tight; server CPU shipments rise more than 30% y/y while server DRAM bit supply rises about 25%, widening the gap. AI server shipments seen +36% y/y in 2027. Semis digest citing TrendForce via X (Nov 6)

NEW **Desk: "capitulatory."** A trading desk called Thursday's washout LO-heavy (about 55/45 vs prior HF-led sessions): Sandisk −22% (worst in the S&P), DRAM ETF ~−18%, Micron ~−15–17%, SK hynix ADR ~−13%, SOXX ~−13%, Nvidia −9%; VIX near 27; net selling nine straight sessions in TMT. Broker trading desk / flow notes (Nov 5–6)

NEW **Data-center GW cut again.** A broker's PTO model cut incremental IT gigawatts for 2027–30; Texas and Georgia stay in the highest risk tier after the midterms. An earlier Petersen note had already cut installed IT GW 2026–30E. Broker DC / PTO notes (Nov 5–6)

Equipment notes. Nova beat on DRAM (Memory +66% q/q) with a raised December quarter, though the target was cut on multiple compression. Microchip framed a soft guide as foundry/OSAT supply constraint (leads out). MKS kept as a top pick with NAND upgrade momentum. Broker notes (NVMI, MCHP, MKSI)

ON X · SINCE THU ~08:00 · IST

@jukan05 · Nov 5 16:22
Relays a veteran investor: memory LTAs are "basically meaningless"; historically broken after >60% price falls from peak; even at 3× 2027 P/E a 2028 break would re-rate higher — so valuations "not cheap." One investor's view, not a fact.
x.com/…/2118348140139155522

@JonahLupton · Nov 5 16:20
SK hynix 6th-gen HBM4 yield mid-60% (industry high); Goldman NAND ASP +~32% in 2027; his SK hynix sketch ~1.8× 2027 EPS.
x.com/…/2118347793605488998

@pequityresearch · Nov 6 00:59
Citi: 2027E DRAM S/D ratio eases from −8.7% to −3.8%; supply +24% vs demand +28% (prior +19% / +30%).
x.com/…/2118478381826158904

@pequityresearch · Nov 6 03:07
TrendForce: overall DRAM bit supply growth slows to 24% in 2027; tight continues; server CPU >+30% y/y vs server DRAM bit ~+25%.
x.com/…/2118510588984795198

@pequityresearch · Nov 5 19:00
TechInsights' Jeongdong Choe: memory boom 3–4 more years; supply ~85% of demand now; expects 90–95% next year — still a seller's market.
x.com/…/2118387872512516469

@HiCagr · Nov 5 19:50
Korean media citing Counterpoint: Q3 DRAM revenue nearly $200B (+369% y/y); ASP $1.9/Gb on ~4% bit growth.
x.com/…/2118400637990002697

CYCLE TRACKER · SUPPLY TIGHT; SPOT SOFTER; POLICY RISK UP SHARPLY

GAUGE	TODAY VS NOV 5 (KPI WATCH LIST)	NUDGE
Contract ROC	Counterpoint ASP ~$1.9/Gb in Q3; JonahLupton: GS NAND +~32% 2027, non-HBM DRAM +20–40%, HBM +60–140%; Citi still sees 2027 DRAM undersupply (−3.8%)	**Rising, slower**
Spot vs contract	DDR5 16Gb $60.17 (−0.82%), second down day; DDR4 16Gb −0.91%; 512Gb TLC wafer still $16.15 (−4.33% w/w); Team Group spot 30–50% above contract (carried)	**Edging lower**
LTAs / lead times	TechInsights: LTAs with AI designers/hyperscalers; Counterpoint: LTAs support prices, fabs 2028; Jukan LTA-break thesis (one investor view); TrendForce bit supply +24% 2027 still tight	**Long, firm**
Margins / guide	Q3 DRAM revenue near $200B on price; Qualcomm handset crack carried; equities pricing slower DC builds (MU −17%, SNDK −22%, SOX −12%)	**Peak zone**
Capex / new supply	Micron Fab 11E Taoyuan pause ($3–4.5B, due 2028; report) — potential tighter conventional DRAM; Samsung Giheung base-die fab carried; CXMT/YMTC expand (TechInsights)	**Building, with pause**

VERDICT VS PREVIOUS CALL (NO. 30, NOV 5)

Late upcycle; tight through 2027 and booked into 2028. Unchanged overall on supply. Fundamentals still point tight: Counterpoint's Q3 pricing super-cycle (~$200B on +4% bits), TechInsights' ~85% supply/demand, and TrendForce's +24% 2027 bit supply that remains short. Micron's reported Fab 11E pause is a new supply-side wrinkle for conventional DRAM. But policy and sentiment risk is up sharply. US Thursday was the worst SOX day since March 2020 (MU −17%, SNDK −22%); Seoul hit a Level-1 circuit breaker on Friday. DRAM spot fell a second day (DDR5 −0.82%). Playbook: softer spot under still-rising contract, and equities pricing slower data-center timing before memory pricing, are late-cycle / sentiment signals — not yet a call that physical tightness has broken. Next tests: US payrolls today 15:30 IST, TSMC October sales Nov 10, Nvidia Nov 17.

EVENTS CALENDAR · NOV 6–20 · ISRAEL TIME (IST, UTC+2) · US CASH OPEN 16:30

Fri Nov 6	US October payrolls 15:30	Macro
Mon Nov 9	Sandisk split record date (8-for-1) · Onto Innovation after the close · Nvidia AI Day Seoul	NAND
Tue Nov 10	TSMC October sales · US CPI 15:30 · CoreWeave / Infineon after the close	AI
Wed Nov 11	Korea Nov 1–10 exports · US Veterans Day (markets closed)	Trade
Thu Nov 12	Applied Materials after the close · Nebius · Fri: US PPI 15:30	WFE
Tue Nov 17	Nvidia FQ3 results (call 00:00 Nov 18) · SC26 exhibits Nov 17–19	HBM
Thu Nov 20	Sandisk first split-adjusted trading day (effective after close Nov 19)	NAND

The Memory Cycle Journal · independent research digest · not investment advice ·
Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #31 · Nov 6, 2026